Financial Reporting Centre

Guidance Note on Identification of Suspicious Activity and Transaction for the Real Estate Sector

ML/TF/PF Risk Factors, Mitigating Measures, Indicators and Case Studies

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Financial Reporting Centre

The Financial Reporting Centre (FRC), Kenya's Financial Intelligence Unit, is established under section 21 of the Proceeds of Crime and Anti-Money Laundering Act, 2009 (POCAMLA).

FRC is an independent body whose principal objective is to assist in the identification of the proceeds of crime and combating money laundering, terrorism financing and proliferation financing.

Disclaimer

The money laundering, terrorism financing and proliferation financing indicators contained in this Guidance Note are not an exhaustive list covering all potential suspicious scenarios. Therefore, real estate agencies should use these indicators together with any other available information to complement their internal controls and processes.

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Abbreviations

AML	Anti-Money Laundering
BO	Beneficial Owner
CFT	Countering the Financing of Terrorism
CPF	Countering Proliferation Financing
CTR	Cash Transaction Report
DNFBPs	Designated Non-Financial Businesses and Professionals
EDD	Enhanced Due Diligence
EU	European Union
FATF	Financial Action Task Force
ID	Identification
KYC	Know-Your-Customer
ML	Money Laundering
NRA	National Risk Assessment
PEP	Politically Exposed Persons
PF	Proliferation Financing
POA	Power of Attorney
POCAMLA	Proceeds of Crime and Anti-Money Laundering Act, 2009
SAR	Suspicious Activity Report
STR	Suspicious Transaction Report
TF	Terrorism Financing
UN	United Nations
UNSCR	United Nations Security Council Resolution
US	United States

1.0 Introduction

Money Laundering (ML), Terrorism Financing (TF) and Proliferation Financing (PF) pose a significant threat to national security, the integrity of professional and business services, and the stability of both national and global financial systems. To address these threats, Kenya has undertaken several risk assessments to identify the specific vulnerabilities and establish effective control measures.

1.1 Real Estate Sector ML/TF Risk Profile

Kenya's updated National Risk Assessment, 2023 (NRA) assessed the real estate sector as having a high ML threat and being highly vulnerable to money laundering. Key contributions to this rating include cash-based nature of the sector's business, high value of transactions, weak legal framework for market entry with a large number of unregistered agents and low AML/CFT awareness in the real estate sector.

The NRA also identified emerging trends in the sector that include:

a. Proceeds from gold scams being channeled through the real estate sector;
b. Involvement of intermediaries in transactions within the real estate sector with the intention of concealing Beneficial Ownership(BO) and source of funds; and
c. Individuals coming together to develop properties as joint ventures with instances where the source of funding cannot be verified.

The National Terrorism Financing Risk Assessment, 2024, assessed the real estate sector as having a Medium-Low risk level on TF. Risks manifest through the collection of rent for TF purposes, commingling funds with diaspora remittances, and using proxies to store terrorist-related funds. Some factors that contributed to this rating include the cash intensive nature of the sector, low enforcement level of criminal sanctions, low CFT awareness and understanding in the sector, limited KYC during onboarding, lack of client screening against UN sanction lists, unlicensed and unregistered real estate agents, exploitation of the sector for storage, holding and investment of terrorist-related funds.

Cognizant of the risk profile of the real estate sector, particularly relating to ML, reporting institutions including real estate agencies are required to take appropriate measures to prevent their services from being exploited for ML/TF/PF.

1.2 Identification and Reporting of Suspicious Transaction and Activity

Section 44 of the Proceeds of Crime and Anti-Money Laundering Act, 2009 (POCAMLA) read together with Regulation 38 of the Proceeds of Crime and Anti-Money Laundering Regulations, 2023 (POCAML Regulations) require reporting institutions including real estate agencies to conduct ongoing monitoring of all complex, unusual, large, suspicious transactions or such other transactions as may be specified by the regulations; whether completed or attempted and pay close attention to patterns with no clear economic or lawful purpose.

Entities are required to report any suspicion of ML/TF/PF or criminal proceeds to the Centre. A Suspicious Activity Report (SAR) or Suspicious Transaction Report (STR) must be filed within two (2) days of forming a suspicion, accompanied by all supporting documents relevant to the activity or transaction in question.

1.3 Purpose of Guidance

This Guidance is intended to assist the real estate agencies or other professionals in the real estate sector to identify ML/TF/PF indicators while providing their services and take reasonable measures to manage potential risks from the identified indicators. The Guidance contains indicators and illustrative examples meant to assist real estate agencies in the development of their internal controls and procedures for determining when there are reasonable grounds to suspect that an activity or transaction or attempted transaction may be linked to ML/TF/PF.

2.0 ML/TF/PF Risk Factors

ML/TF/PF risk factors are specific elements that reporting institutions, such as real estate agencies, look at to find possible money laundering or terrorist financing risks in their business as part of their AML/CFT/CPF program. Real estate agencies are required to, as a baseline, assess four common categories. These categories are customers, products/services, delivery channels and geographical location.

In this section, the Guidance will outline some of the categories of risks relating to the real estate sector.

2.1 Customer Risk Factors

Some of the customer risk factors to consider are:

Risk Factor	Description of Risk Factor	Suggested Mitigating Measures
A customer is reluctant to provide required identification	Risk arises from the possibility that the customer intends to conceal their true identity or that of the beneficial owner. This may enable criminals to launder money through the real estate sector. Red flags include delay in providing the identification documents, incomplete documents, excuses for non-provision of the documents or pressure to proceed without full KYC completion. For example: A buyer or seller refuses to provide a Kenyan National ID or passport and insists on proceeding using available documents or third-party details.	• Apply enhanced due diligence (EDD) including screening for sanctions, PEP, and adverse media mention once the identification is obtained. • Monitor customer behavior continuously for attempts to bypass controls or conceal ownership. • Document interaction and decision. • File STR/SAR where refusal or behavior gives rise to suspicion. • Decline or terminate the relationship if identification is not provided.

Risk Factor	Description of Risk Factor	Suggested Mitigating Measures
Beneficial ownership is unclear or difficult to verify	The possibility of concealing proceeds of crime through the misuse of legal persons and legal arrangements is high. Particularly, they may be used to hide the identity of individuals looking to evade sanctions or PEP scrutiny, or adverse media screening, or links to criminal activities. For example: A company purchasing property does not clearly disclose its shareholders or BOs. A legal person or arrangement with a complex chain of ownership. For instance, a CR12 search of the customer indicates that other companies are shareholders of that company. A targeted CR12 search on the shareholders (companies), indicates that the shareholders are still companies. This puts the real estate agency in a loop of searching for the beneficial owners.	• Request additional ownership documents. • Conduct enhanced due diligence including obtaining ownership charts or declarations from the legal person or arrangement or verifying ownership information using reliable independent sources such as business registry databases e.g. Business Registration Service. • Escalate to compliance or senior management for approval. • Decline, suspend or terminate the transaction where the beneficial ownership cannot be reasonably established. • File STR/SAR where there is suspicion.
Customer is a politically exposed person (PEP)	Risk arises from the possibility that the PEP may purchase property to launder money obtained from corruption, bribery or abuse of office. Red flags include unexplained wealth, use of offshore entities, reluctance to disclose the source of funds or beneficial ownership information, or adverse media	• Apply EDD including establishing the source of funds or assessing political connections and exposure. • Require approval of senior management before undertaking property transactions.

Risk Factor	Description of Risk Factor	Suggested Mitigating Measures
	mention involving corruption or abuse of office. For example: A senior government official, county executive, or close associate is involved in a real estate transaction.	• Screen for PEPs, sanctioned individuals or entities, and adverse media mention for new buyers, sellers, or BOs. • Monitor transactions and sources of funding including changes in ownership or intermediaries. • File STR/SAR if cash source cannot be reasonably verified. • Decline or terminate transaction if AML/CFT risk is unmanageable.
Customer shows unusual urgency to complete a transaction	Risk arises from the possibility that the customer may attempt to avoid the AML/CFT controls to prevent detection of illicit proceeds or links of the customer or beneficial owner to criminal activity or potential sanctions evasion. Red flags include pressure to skip KYC or enhanced due diligence, resistance to document requests, willingness to pay premium for speed or last minute changed to payment method or ownership structures. For example: A buyer pressures the agent to complete a property sale quickly to avoid scrutiny or bypass standard due diligence checks.	• Apply EDD including documenting reasons for urgency, establishing source of funds, and ensuring completion of KYC. • Require approval from senior management before completing a transaction. • Screen for PEPs, sanctioned individuals or entities, and adverse media mention for new buyers, sellers, or BOs. • Monitor transaction for abnormal timing, rapid transfers or unusual settlement patterns. • File STR/SAR if urgency suggests suspicious behavior. • Decline or terminate transaction if ML/TF/PF risk cannot be mitigated.

Risk Factor	Description of Risk Factor	Suggested Mitigating Measures
Customer seeks to purchase multiple properties within a short period	Risk arises from the possibility that the customer may be purchasing property to launder illicit proceeds and avoiding detection through structuring. Red flags include multiple acquisitions without clear economic rationale, use of different entities for each purchase, inconsistent sources of funding, pressure to complete the transaction quickly. For example: A buyer acquires several residential properties across different locations or through multiple legal entities within a short time using different funding sources.	• Apply EDD including documenting reasons for purchasing multiple properties, establishing source of funds, and ensuring completion of KYC. • Require approval from senior management before completing multiple transactions. • Screen for PEPs, sanctioned individuals or entities, and adverse media mention for new buyers, sellers, or BOs. • Monitor transaction for rapid resales, refinancing or transfer of ownership. • File STR/SAR if source of funds or ownership is unclear or suspicious. • Decline or terminate transaction if ML/TF/PF risk cannot be mitigated.
Customer is a foreign national or a non-resident purchasing property	An individual may attempt to distance their assets from their country of residence by purchasing property in a different country concealing the relationship between the individual and the assets. Risks associated with foreigners include cross-border movement of illicit funds, exposure to high-risk jurisdictions and sanctions evasion.	• Apply EDD including verifying identity using reliable foreign sources, establishing the source of funds and understanding purpose of the purchase. • Require approval from senior management for high-risk jurisdictions or where customer profile cannot be independently verified.

Risk Factor	Description of Risk Factor	Suggested Mitigating Measures
	Red flags include funds originating from high-risk jurisdiction, limited documentation supporting source of funds, reluctance to provide translated or certified documents. For example: A non-resident buyer acquires high value property using funds transferred from overseas accounts or a foreign company with limited local presence or economic ties.	• Screen for PEPs, sanctioned individuals or entities, and adverse media mention for new buyers, sellers, or BOs. • Monitor transaction activity including reviewing cross-border payments and unusual resale or financing activity. • File STR/SAR where source of funds cannot be reasonably established. • Decline or terminate transaction if ML/TF/PF risk cannot be mitigated.

2.2 Products or Services Risk Factors

Risk Factor	Description of Risk Factor	Suggested Mitigating Measures
High-value property inconsistent with customer profile	Risk arises from the possibility of laundering funds from illicit proceeds through acquisition of real estate. Red flags include disproportionate wealth relative to profile, vague explanations of funding, or use of third party or offshore funds. For Example: A boda-boda operator seeks to buy an apartment in Westlands worth KES 25 million.	• Apply EDD including establishing source of funds, corroborating income and asset accumulation, and requesting supporting documentation. • Require approval from senior management before completing the transactions. • Screen for PEPs, sanctioned individuals or entities, and adverse media mention for new buyers, sellers, BOs.

Risk Factor	Description of Risk Factor	Suggested Mitigating Measures
	A university student seeks to buy an apartment worth KES 15 million in Kilimani	• Monitor transactions for unusual payment behavior, quick resale or refinancing inconsistent with the stated investment purpose. • File STR/SAR where discrepancies cannot be reasonably explained. • Decline or terminate transaction if ML/TF/PF risk cannot be mitigated.
Transaction involves unregulated intermediaries or not subject to AML/CFT obligations	Risk arises in the possibility of circumvention of AML/CFT controls using unregulated intermediaries such as unlicensed real estate agents. Unlicensed or unregulated intermediaries are not concerned with compliance with the law including AML/CFT legislation thus are a weak link when it comes to reinforcing AML/CFT controls and preventing their services from being abused for ML/TF. Red flags include resistance to sharing client information, lack of documented due diligence, reliance on verbal assurances or complex referral chains. For Example: Customer uses an unlicensed real estate agent to handle property sale.	• Apply EDD including verifying the credentials and legitimacy of intermediaries. • Avoid reliance on unregulated intermediaries. • Require approval from senior management before the transactions. • Screen for PEPs, sanctioned individuals or entities, and adverse media mention for new buyers, sellers, or BOs. • Monitor transactions involving intermediaries including reviewing of deviations from standard processes, and verification of consistency between roles, payments and documentation. • File STR/SAR if transaction is suspicious. • Decline or terminate transaction if ML/TF/PF risk cannot be mitigated.

Risk Factor	Description of Risk Factor	Suggested Mitigating Measures
Rapid buying and selling property in short time frames without clear economic rationale (property flipping)	Risk arises in the possibility that rapid transactions may be used to layer illicit funds to obscure the true source of the funds. Red flags include short holding periods, multiple resales of the same property within months, price changes inconsistent with market conditions or without evidence of renovation, or unexplained changes in funding sources between transactions. For Example: Customer buys a Mombasa villa and sells it within 4 months with or without renovations.	• Conduct EDD where appropriate including requiring documentation supporting economic rationale e.g. renovation records of valuation reports and verifying source of funds for each transaction. • Require approval from senior management for repeated or high-risk property flipping activity. • Screen customer and BO (if any) for sanctions, adverse media mention and PEP status. • Monitor transaction patterns, pricing behavior, and ownership changes and flag unusual resale activity. • File STR/SAR where the property flipping lacks legitimate explanation. • Decline or terminate the relationship if the risks cannot be mitigated.
Property purchase or sale price is significantly above or below the prevailing market value without a legitimate explanation.	There are several risks that may be associated with undervaluation or overvaluation of property. Mispricing property can be used to move value between parties, disguise illicit funds or covertly transfer wealth. Underpayment of sale price may be an indication of tax evasion where the seller appears to accept a lower price than the market price	• Require independent professional property valuations. • Compare transaction prices with recent comparable sales in the same area. • Apply enhanced due diligence where pricing significantly deviates from market value. • Document and assess the economic rationale for any pricing discrepancies. • File STR/SAR where pricing manipulation is suspected.

Risk Factor	Description of Risk Factor	Suggested Mitigating Measures
	while in fact receiving the difference in price through alternative arrangement in a bid to reduce tax liability. Red flags include pricing inconsistent with independent valuations, rapid resale at a significantly different valuation without justification, transactions involving related parties, sale materially above or below comparable market transactions. For Example: A seller accepts a significantly below market price from a purchaser. For instance, selling property worth KES 70 million for a property valued at KES 40 million. A buyer acquires property well above market value using complex funding arrangements. For instance, purchasing property worth KES 20 million for double the price.	• Decline, suspend or terminate the transaction if risks cannot be reasonably mitigated.
Frequent or unexplained changes in buyers, sellers, or BOs across property transactions	Potential risks include layering and concealment of ownership and beneficial ownership through repeated changes with the aim of obscuring the true identity of the BO and complicating the audit trail. Shifting beneficiaries may also hide PEPs, sanctioned individuals and other high-risk parties. Further, frequent changes may be a strategy to circumvent AML/CFT checks to prevent the detection of flow of illicit funds.	• Identify and verify the identity of all buyers, sellers and BOs. • Apply EDD to transactions with frequent party changes including reassessing source of funds. • Require clear documentation explaining ownership or beneficiary changes.

Risk Factor	Description of Risk Factor	Suggested Mitigating Measures
	Red flags include last-minute changes to buyers or sellers before completion of the transaction, use of multiple intermediaries and trusts without clear purpose, inconsistencies between the BOs and the sources of funds, or frequent transfers between related parties or newly formed entities. For Example: Seller changes ownership names three times during the sale of a Nairobi office block. An individual presenting themselves as the buyer introduces the actual buyer at the tail end of the transaction.	• Monitor changes in ownership, control or transaction structure. • Screen for PEPs, sanctioned individuals or entities, and adverse media mention for new buyers, sellers, or BOs. • File STR/SAR where changes appear designed to obscure ownership or evade AML/CFT controls. • Decline or terminate the transaction if risks cannot be mitigated.
Structuring transactions or payments to avoid reporting thresholds	Structuring takes place when a transaction is deliberately arranged or broken into smaller amounts to avoid reporting thresholds. The technique is used to conceal illicit funds and evade regulatory oversight. Risk involved is the fragmentation of transactions making it difficult to trace the true source and movement of funds to conceal the true transaction value. Red flags include multiple payments just below the reporting thresholds. For instance, multiple transactions that fall below USD 15,000 to avoid filing cash transaction report (CTR).	• Restrict use of cash. • Aggregate related transactions and file a CTR if it meets the threshold. • Apply EDD where structuring behavior is suspected. • Train staff to recognize and escalate attempts to evade reporting requirements. • File STR/SAR where structuring is identified.

Risk Factor	Description of Risk Factor	Suggested Mitigating Measures
	Use of several accounts, third parties or payment instruments to fund a single transaction with the intention of obscuring the true transaction value. Unusual payment patterns which are inconsistent with the customer's profile. For Example: A buyer splits a KES 15 million payment into multiple transactions ranging between KES 600, 000 and KES 1.4 million to avoid meeting the cash transaction report threshold.	• Decline, suspend or terminate the transaction if risks cannot be reasonably mitigated.
Property is acquired or held with no clear, legitimate or economically rational use.	Occurs when property is purchased or held without any clear, legitimate purpose such as occupancy, rental, development or resale and remains vacant or unused for extended period without any reasonable economic explanation. Risk arises from the possibility of laundering illicit proceeds through purchase of property for storing value rather than generating economic return. Red flags include long-term vacancy, absence of rental income or business activity, minimal concern for operating or holding costs, or repeated acquisition of unused properties. For Example: A customer acquires multiple high-value apartments in Mombasa but none are rented, occupied, or listed for sale.	• Ongoing monitoring of property use and ownership changes including prolonged inactivity or unexplained holding. • Screen for PEPs, sanctioned individuals or entities, and adverse media mention for new buyers, sellers, or ultimate BOs. • File STR where lack of use indicates potential ML/TF risk. • Decline or terminate the transaction if risks cannot be reasonably mitigated.

2.3 Delivery Channels Risk Factors

Risk Factor	Description of Risk Factor	Suggested Mitigating Measures
Use of cash or cash equivalents in property transactions	Involves the use of cash or cash equivalents such as money order or bearer instruments to fund property transactions. Use of cash or its equivalents poses a risk due to the difficulty of tracing their movement. Therefore, cash payments can bypass banking oversight, monitoring and reporting mechanisms. Red flags associated with the use of cash include large cash payments for property transactions, resistance to non-cash payment requirements, structuring of cash payments, use of money order or prepaid instruments instead of bank transfers. For Example: Buyer attempts to pay KES 20 million in cash for a luxury apartment in Mombasa.	• Prohibit or limit the acceptance of cash. • Require payments in the customer's name through regulated financial institutions. • Monitor and aggregate cash and cash equivalent transactions. • Screen for PEPs, sanctioned individuals or entities, and adverse media mention for new buyers, sellers, or BOs. • File STR where use of cash is unexplained or structured. • Decline or terminate the transaction if risks cannot be reasonably mitigated.
Use of third parties or intermediaries to conduct, fund or manage property transactions	Involves the use of third parties such as relatives, agents, nominees, professional intermediaries, companies or trusts to undertake property transactions without a clear, legitimate or transparent role. Risk arises from the possibility that the third party can be used to conceal identity of the buyer, seller or beneficiary of a property. Their involvement may distance the illicit funds from the source obscuring the transaction trails, making it difficult to identify the BO.	• Apply EDD where appropriate including identifying and verifying the identity of the customer, BO and third parties involved, establishing the source of funds, and understanding and documenting the nature of the relationship between the customer and the third party.

Risk Factor	Description of Risk Factor	Suggested Mitigating Measures
	Red flags include payments made by individuals not parties to a property transaction, resistance to disclosing beneficial ownership or source of funds, limited engagement with the customer, or inconsistent information across parties. For Example: A buyer uses a distant relative or an unlicensed agent to handle the purchase of a Westlands apartment.	• Require senior management approval for higher-risk third-party involvement. • Enhanced monitoring of transaction patterns, payment flows and changes in third party roles to check for inconsistencies between stated roles, source of funds and transaction behavior. • Screen for PEPs, sanctioned individuals or entities, and adverse media mention for new buyers, sellers, or BOs. • File STR/SAR where third-party use appears designed to obscure ownership or funding. • Decline or terminate the transaction if risks cannot be reasonably mitigated.
Remote or non-face-to-face property transactions	Applies when property transactions are conducted without in-person interaction, relying on digital channels, electronic documentation or representatives. Remote onboarding of customers increases potential for obscuring the true identity of the parties in a transaction due to risks of impersonation, use of false documentation or identity fraud. Other risks associated with remote transactions	• Implement robust remote customer identification and verification processes, for instance, use of video calls to confirm identity. • Apply EDD to high value or high-risk remote transactions. • Conduct ongoing monitoring to detect unusual behavior or inconsistencies. • Screen for PEPs, sanctioned individuals or entities, and adverse media mention for new buyers, sellers, or BOs.

Risk Factor	Description of Risk Factor	Suggested Mitigating Measures
	include concealment of beneficial ownership and reduced ability to assess customer behavior or intent. Red flags include reluctance to attend in-person meetings, frequent changes in contact details or representatives, or heavy reliance on digital copies without reliable verification. For Example: A customer living in Mombasa tries to buy property in Nairobi via email only, sending scanned documents.	• File STR/SAR where identity or ownership cannot be reasonably established. • Decline or terminate the transaction if risks cannot be reasonably mitigated.
Use of multiple or complex payment channels in a property transaction	Applies when a single property transaction is conducted through multiple intermediaries, accounts or delivery channels or where the transaction structure is unnecessarily complex for the customer profile. Risk arises from the possibility of using complex payment channels to obscure transparency of the transaction or prevent effective oversight thereby facilitating movement of illicit funds without detection. Red flags include payments through several accounts, platforms or financial institutions, unnecessary complex transaction structures for relatively straightforward property deals, frequent changes of mode of payment through the course of the relationship, frequent changes in funding sources, last-minute	• Track, consolidate and review all payments. • Apply EDD including mapping full payment flows, obtaining rationale for complex structures and verify source of funds for each payment. • Monitor payment patterns and review deviations from the expected funding structures. • Screen for PEPs, sanctioned individuals or entities, and adverse media mention for buyers, individuals making payments, sellers, or BOs.

Risk Factor	Description of Risk Factor	Suggested Mitigating Measures
	changes to payment instructions, or involvement of high-risk jurisdiction. For Example: Payment for a property is split across three different bank accounts in different banks in Nairobi. Payment for a property is done by different individuals each paying a portion of the purchase price.	• File STR/SAR where payment complexity cannot be reasonably explained. • Decline or terminate the transaction if risks cannot be reasonably mitigated.
Use of virtual assets / cryptocurrency to fund or settle property transaction instead of traditional bank transfers	Applies when virtual assets such as cryptocurrencies are used to fund or facilitate property transactions instead of traditional regulated banking channels. Use of virtual assets significantly reduce transparency of the movement of funds obscuring the source of funds. Some virtual assets provide anonymity features to their users enabling them to transact without detection, making them attractive to sanctioned individuals, PEPs or criminals who need to conceal their identities. Red flags associated with use of virtual assets as a mode of payment include request for direct crypto payments without clear legitimate rationale, use of un-hosted wallets, reluctance to use regulated financial systems, conversion of large amounts of crypto into fiat shortly before completion, or reluctance to provide information of the source of virtual assets.	• Establish clear internal policies on acceptance or refusal of virtual assets as a method for settling property transactions or related fees. • Only accept virtual assets transacted through regulated exchange channels. • Apply EDD including seeking senior management approval before acceptance of virtual assets and requiring source of funds for virtual assets related payments. • Monitoring through use of blockchain analytic tools to assess transaction history and identify high-risk wallets.

Risk Factor	Description of Risk Factor	Suggested Mitigating Measures
	For Example: Buyer proposes to fund a Nairobi property using cryptocurrency (e.g., Bitcoin)	• File STR/SAR where payment complexity cannot be reasonably explained. • Decline or terminate the transaction if risks cannot be reasonably mitigated.
Foreign-based delivery channels	Applies when real estate transactions are conducted through delivery channels located outside Kenya. Involvement of foreign-based channels can increase complexity of the transaction and reduce regulatory oversight. Further, using funds from a foreign jurisdiction may be an attempt by the customer to distance themselves from the source of the funds for instance through use of professional intermediaries such as foreign real estate agents, lawyers, and financial institutions. Red flags include buyer or seller insisting on using overseas bank accounts, non-face-to-face onboarding, use of offshore companies or trusts, involvement of high-risk jurisdictions (see geographical risk factors below), or delays or resistance in providing verified documentation due to reliance on foreign intermediaries. For Example: Customer wants to fund a Nairobi property purchase via a bank account in a foreign country.	• Assess jurisdictional risk associated with all foreign-based delivery channels involved in a transaction. • Apply EDD where appropriate including establishing the source of funds. • Screen for PEPs, sanctioned individuals or entities, and adverse media mention for new buyers, sellers, BOs. • Monitor transaction behavior including changes in intermediaries' ownership, or funding routes. • File STR/SAR where identity, ownership, or source of funds cannot be reasonably established. • Decline or terminate the transaction if risks cannot be reasonably mitigated.

2.4 Geographical Risk Factors

Risk Factor	Description of Risk Factor	Suggested Mitigating Measures
Links to high-risk jurisdiction	What is a high-risk jurisdiction? 1. A jurisdiction listed by the FATF for having strategic AML/CFT deficiencies (greylist or blacklist) 2. A jurisdiction identified by credible sources as having significant levels of corruption. 3. A jurisdiction known for politically unstable regions or conflict zones such as armed conflict. 4. A jurisdiction that is recognized as a tax haven or an offshore financial center. 5. A jurisdiction that is sanctioned by the UN, US, EU or other international sanctions. Applies when real estate transactions involve customers, beneficial owners, source of funds, or delivery channels connected to high-risk jurisdictions. Red flags include payments routed through high-risk jurisdictions, source of funds originating from or transiting through high-risk jurisdictions, unexplained complexity or reluctance to provide documentation relating to foreign connections, or customer, BO is a resident or connected to high-risk jurisdiction. For example: A non-resident buyer from a FATF-greylisted jurisdiction purchases high-value property through a foreign company or trust, with funds transferred from accounts in that jurisdiction. A politically connected buyer from a high-corruption jurisdiction acquires high-value real estate through a foreign company or nominee, with funds originating from that jurisdiction.	• Require approval by senior management prior to onboarding or transaction execution. • Conduct |EDD including screening against sanctions and watchlists, identifying and verifying BO information and obtaining additional information on the source of funds. • Monitor the customer relationship more closely. • Decline or terminate the relationship if risks cannot be adequately managed. • File an STR if suspicious.

3.0 ML/TF/PF Indicators

ML/TF/PF indicators are noticeable red flags or suspicious patterns in customer behavior, transactions, or relationships that signal potential ML/TF/PF may be taking place. However, a red flag on its own does not confirm ML/TF/PF activity but serves a trigger for EDD. Familiarity with sector-specific indicators strengthens the detection capabilities of a reporting institution to enable reporting of suspicious transactions/activities

3.1 Customer Indicators

Customer Profile and Behavior

- Customer is reluctant to provide required identification or information
- Customer provides incomplete, false, or inconsistent information
- Uses complex or unusual ownership or control structures without a clear reason
- Acts through intermediaries with no clear justification
- Avoids face-to-face contact without a reasonable explanation
- Customer shows unusual urgency to complete a transaction
- Customer shows unusual concern about AML/CFT checks or reporting requirements
- Customer exhibits nervous behavior or has a defensive attitude to questioning
- Customer refuses to identify a source of funds, or provides information that is false, misleading, or substantially incorrect
- Customer exhibits a lack of concern about higher than normal transaction costs or fees
- Customer modifies the transaction after being asked for identity documents
- Adverse media or negative information linked to ML/TF/PF, fraud, corruption, or other crimes
- Customer is a politically exposed person (PEP) or closely associated with a PEP
- Client inadequately explains the last minute substitution of the purchasing party's name
- Client tries to register the real estate property at a price less than the actual value of the amount that will be paid, and pays the difference through a secret or unofficial arrangement
- Customer's contact number has been disconnected or there is no such number
- Client purposely abandons a transaction breaching a contract clause, resulting to a penalty and partial loss of deposit
- Client does not wish to obtain necessary government approvals/filings
- Customer is involved in a transaction that is suspicious but refuses or is unable to answer questions related to the transaction

Ownership and Control

- Unrelated parties with no apparent relationship to the customer provide a deposit for the property transaction
- A customer conducts a transaction while accompanied, overseen or directed by another party
- Customer appears to be or states they are acting on behalf of another party without clear justification
- BO is unclear, hidden, or difficult to verify
- Frequent changes in BOs, directors, or authorized persons
- Use of nominee shareholders or directors
- Purchases done by gatekeepers such as lawyers who avoid identifying their client or disclosing their client's identity when such identification would be normal during the course of a transaction

Business or Occupation

- Customer's occupation or business is high risk (e.g., cash-intensive businesses)
- Business activities do not match the customer's profile or stated source of funds
- Newly formed companies with no clear business purpose
- Entities with unclear/unverifiable physical addresses

Indicators relating to a Purchaser

- The purchaser appears to be using funds or assets held by their company to finance property in their own personal name or vice-versa (the corporate purchaser is using the personal funds of shareholders or other officers within the company)
- The purchaser has been designated on sanctions lists linking them to terrorist organizations or terrorist activities
- Purchaser arrives at a property near to closing hours and attempts to make a purchase with a significant amount of cash, or negotiable instruments which do not state the identity of the payer (e.g. bank drafts)
- Customer purchases a property with urgency
- Customer purchases property in someone else's name such as an associate or a relative (other than a spouse) or other persons who lack the economic capacity to carry out such purchases or on behalf of Politically exposed person (PEP)
- Customer buys back a property that he or she recently sold
- Customer over-justifies or over-explains the purchase
- Customer wants to build a luxury house in non-prime locations
- Purchaser buys property without making any attempt to inspect or review the brochure or marketing material of the property
- Purchaser appears to be acting as proxy for the purchase of the properties and makes attempts to conceal the identity of the beneficial owner
- Purchaser buys property on behalf of minors or other persons who lack the economic capacity to carry out such purchases
- Purchaser is suspected to be using forged, fraudulent or false identity documents
- Significant and unexplained geographical distance between the agent and the purchaser during the purchase
- Purchaser appears unconcerned about the economic or investment value of the property he/she is purchasing or associated commissions and fees
- Purchaser seems very keen about AML/CFT reporting threshold requirements
- Purchaser's known business activity and purpose does not match the real estate transaction

Indicators relating to a Seller

- The seller is not interested in negotiating a better price for the property
- The property is being sold for significantly more or less than the market value
- The purchaser is financing the property from a loan given by the seller
- The seller is pressurizing the purchaser into using the services of a professional of the seller's choice (e.g. lawyer, valuer)
- The property is being resold immediately after purchase, or within a short period of time, for no apparent or economic reason
- A recently acquired property is sold at significantly high or low price with no credible justification
- The seller is seeking to sell the property exclusively to persons who will pay in cash or through cryptocurrencies (whether wholly or in part)

Indicators relating to a Letting/Leasing

- The property is being leased for significantly less or more than the rental value
- The lessee is not interested in the features or conditions of the property or has not even bothered to view the property
- The value of the lease in significantly inconsistent with the customer's profile
- The purpose of the lease is not clear
- Large upfront rents/deposits in cash
- PEPs, shell companies using nominees for short-term leases
- Property rented/leased but is rarely occupied
- Rental income collected and deposited to unrelated third-party accounts with the intention of concealing the BO or to evade taxation
- The lessee is not interested in a refund for a premature cancelation of the tenancy/lease agreement
- The tenant/lessee terminates the tenancy/lease agreement and request for the refund through different modes of payment with unclear justification

3.2 Product/Service Indicators

- Purchase or sale of high-value properties that are inconsistent with the customer's known profile
- Purchase of a number of properties in a short period of time without expressing any interest in their location, condition, costs of repair or otherwise.
- Preference for use of cash or cash-equivalent payments
- Rapid buying and selling (property flipping) without a clear commercial reason
- Use of complex financing arrangements or multiple third parties without a clear purpose
- Purchase of property through companies, trusts, or special purpose vehicles (SPVs)
- Overpayment or underpayment for property compared to prevailing market prices
- Frequent changes in buyers, sellers, or beneficiaries during the transaction process
- Use of foreign funds or cross-border payments unrelated to the buyer's residency or business activities
- Request for early termination or resale shortly after purchase
- Use of power of attorney without a clear and legitimate reason
- Property purchases with no apparent intention to occupy, rent, or use
- Unusual involvement of unregulated intermediaries or brokers
- Customer arranges the financing of property purchase, partially or in full, through an unusual source or an offshore bank.
- Tenant overpays rent then requests refunds to different accounts

3.3 Transaction/Delivery Channels Indicators

- Use of cash or cash-equivalent payments for property transactions
- Payment for purchase was done through multiple third party transfers and deposits directly to the seller on behalf of the purchaser
- Transactions initiated via email, phone, online, use of digital signatures, scanned documents, or POAs without in-person verification
- Payment instructions routed through high-risk or sanctioned jurisdictions
- Layering via multiple virtual asset wallets, buyer splits cryptocurrency payments across several wallets to obscure the source before completing a property purchase
- Transactions involving off-plan properties or properties under development, which may be resold quickly
- Transactions that are unduly expedited without a reasonable explanation
- Transactions in which the party asks for structured payments to avoid raising suspicion
- Transactions involving foundations, cultural or leisure associations, or non-profit-organizations in general, when the characteristics of the transaction do not match the goals of the entity
- Transactions in which any of the payments are made by a third party, other than the parties involved.
- Transactions performed through intermediaries, when they act on behalf of groups of associated individuals (for example, through family or business ties, shared nationality, persons living at the same address, etc.)
- Transactions involving luxury or commercial properties that can easily store value
- Transactions structured to avoid reporting or due diligence thresholds
- Multiple transactions by parties or groups of persons linked to one another

3.4 Geographical Indicators

- Transactions or customers from countries designated as high risk for ML/TF/PF
- Transactions or customers from areas known for organized crime, terrorist activity, or civil conflict
- Transactions or customers from jurisdictions where real estate, banking, or corporate registration is poorly regulated for AML/CFT/CPF
- Transactions or customers from border regions that are predisposed to illicit trade

4.0 Case Studies

4.1 Case Study 1

Mr. K expressed interest in purchasing a residential property valued at KES 60 million. During onboarding, the client declared an annual income of approximately KES 1.5 million as an entrepreneur.

Mr. K made an initial cash deposit of KES 20 million through multiple payments, which were structured below the reporting threshold, over a short period of time. The remaining funds were received from three different bank accounts belonging to individuals not disclosed as parties to the transaction.

When requested to provide documentation supporting the source of funds, Mr. K was unable to produce contracts, invoices, or audited financial statements. The client appeared evasive and insisted on expediting the transaction without further due diligence, citing urgency.

Indicators identified in the case study:

- Transaction inconsistent with customer profile
- Use of cash to purchase high value property
- Structuring to avoid reporting thresholds
- Third-party involvement without clear economic purpose
- Refusal or delay in providing source of funds information

4.2 Case Study 2 : Embezzlement of Public Funds

A real estate company was approached by a client seeking assistance to acquire properties located in different regions of the country. The properties included luxury residential units, commercial office buildings, and mixed-use developments. The client requested that the properties be registered under the names of multiple individuals. Due diligence established that the client was a personal assistant of a senior county official. When questioned the client indicated that they were acting on behalf of the county official but declined to provide written authority or a formal mandate confirming the claim.

The real estate company was instructed to identify the properties, negotiate, and facilitate transactions on the client's behalf, including liaising with sellers, lawyers, and land registries. In several instances, the client did not attend property viewings or negotiations personally, instead relying entirely on the real estate company and issuing instructions remotely.

Funds for the property purchases were remitted in multiple transfers from bank accounts operated by entities that were not linked to the purchaser. The source of funds was stated as legitimate business income but failed to provide documentation commensurate with the value and frequency of the transactions.

Indicators identified in the case study:

- Client seeks to purchase multiple high-value properties within a short period.
- Client avoids personal involvement and relies heavily on intermediaries.
- Resistance or delay in providing source-of-funds or source-of-wealth information.
- Properties registered in the names of multiple individuals with no clear relations.
- Use of relatives, associates, or third parties as property owners.
- Funds originating from multiple bank accounts unrelated to the named buyers.

4.3 Case Study 3

Mr. F, a foreign national approached a real estate company via email asking for facilitation to purchase multiple high-value properties in Kenya. The client had no apparent personal, business, or family connection to the country and did not provide a clear explanation. The client demonstrated minimal personal interaction with the real estate company and communication was conducted almost entirely through email and intermediaries, and he did not attend property viewings.

Funds for the purchase were not remitted by Mr. F directly. Instead, payments were made by multiple third-party individuals and entities, including foreign-based companies and personal accounts that were not linked to the client by any disclosed legal or economic relationship. The client was unable to clearly explain the relationship with the third-party payers or provide supporting documents. The source of funds was described broadly as business proceeds and investment income.

Customer due diligence and open-source checks revealed negative media reports linking the client to fraud-related investigations and civil proceedings in his country of residence. The reports alleged involvement in scams and misappropriation of relief funds, although the client dismissed the information as “false and politically motivated” and declined to provide clarification or supporting documentation.

Indicators identified in the case study:

- Foreign buyer with no clear nexus to the country seeks to acquire property.
- Client avoids in-person interaction and relies entirely on remote communication or intermediaries.

- Use of third-party funds unrelated to the named property purchaser.
- Payments received from multiple foreign accounts or entities for a single property purchase.
- Inability to clearly explain the relationship between the buyer and fund providers.
- Vague or generic descriptions of source of funds or source of wealth.
- Absence of a clear economic or investment rationale for the property acquisition.
- Lack of interest by the client to personally verify the property they wish to acquire.

4.4 Case Study 4: Exploitation of Real Estate for Terrorism Financing

Mr. X approached a real estate agency seeking to purchase multiple residential properties in different regions in the Country. The agency on-boarded Mr. X as a client and shared several property listings for consideration. Mr. X selected three rental apartments valued at: KES 4 million, KES 3 million and KES 5 million.

Although Mr. X negotiated the purchases and provided the full consideration in cash, he instructed the agency to register each property in the name of different third parties namely; Mr Y, Mr W and Mr Z.

Following the acquisition; Mr Y, Mr W and Mr Z jointly instructed the agency to manage the properties, collect rental income and deposit into bank accounts held by a charitable organization based in the Coastal and North Eastern region. The charitable organization was adversely mentioned in the media for alleged involvement in funding terrorist organizations.

Indicators identified in the case study:

- Properties are registered under unrelated individuals rather than the purchaser, suggesting concealment of the ultimate beneficiary.
- Rental proceeds are directed to bank accounts held by a charitable organization, which may be used to channel funds to illicit actors under the guise of humanitarian activity.
- Use of cash when purchasing high value properties.
- Geographical risk exposure.

4.5 Case Study 5: Use of Virtual Currency

Mr. T, a Kenyan national engaged in blockchain consultancy and cryptocurrency trading, approached a real estate agency in Nairobi expressing interest in purchasing a luxury penthouse valued at KES 140 million. The property had been listed on the market for a prolonged period without attracting a buyer.

Despite the long listing period, Mr. T did not negotiate the purchase price and indicated his willingness to proceed at the full asking price, he proposed settling a portion of the purchase price using virtual assets (cryptocurrency). The seller stated that he was open to alternative payment method due to the long time the asset had been in the market. With the assistance of Mr. T, the seller opened a cryptocurrency wallet requiring minimal Know-Your-Customer (KYC) information, specifically to receive the funds.

Mr. T paid KES 110 million in USDT (stablecoin) through a direct transfer from his private wallet to the seller's private wallet. The remaining KES 30 million was financed through a local bank mortgage. Open-source information further revealed that approximately five years earlier, members of the public had lodged complaints alleging that Mr. T had defrauded investors through a virtual currency investment scheme.

Indicators identified in the case study:

- The buyer accepted the full asking price without negotiation, despite the property being on the market for a long period, which may indicate that the primary objective was to move funds rather than secure value.
- Partial payment through cryptocurrency and partial mortgage may serve as structuring/layering to obscure the origin of funds.
- Transfer of cryptocurrency directly from the buyer's private wallet to the seller's private wallet bypasses regulated virtual asset service providers
- Preference of a cryptocurrency wallet requiring minimal KYC information.
- Direct wallet transfers to avoid converting cryptocurrency through regulated virtual asset exchanges, thereby reducing oversight and reporting.
- Historical information linking the buyer to fraud heighten the risk that the funds may represent proceeds of crime.

5.0 Resource Page

The Centre has developed several documents for the real estate sector which may be read together with this Guidance. These sources are relevant to reporting institutions for the purpose of ensuring AML/CFT/CPF compliance. Some of the documents are mentioned below for your knowledge.

5.1 Legislation

These are the primary laws relevant to AML/CFT regulation of the real estate sector. They include:

- Proceeds of Crime and Anti-Money Laundering Act, 2009
- Proceeds of Crime and Anti-Money Laundering Regulations, 2023
- Prevention of Terrorism Act, 2012
- Prevention of Terrorism (Implementation of the UNSCR on Prevention, Suppression and Distribution of Proliferation Financing) Regulations, 2023
- Prevention of Terrorism (Implementation of the UNSCR or suppression of Terrorism) Regulations, 2024

5.2 AML/CFT Guidance relevant to Real Estate Sector

These Guidance have been issued to promote compliance of reporting institutions with the law. They include:

- AML/CFT Guidance and Countering the Financing of Terrorism Guidance for Real Estate Agencies, 2023
- Due Diligence Guidance for Designated Non-Financial Businesses and Professions (DNFBP)
- goAML Registration Guidance
- Guidance on the Implementation of Targeted Financial Sanctions for Reporting Institutions
- ML Risk Assessment Guidance, 2025
- Real Estate Agencies Compliance Pack
- TF Risk Assessment Guidance, 2025
- Guidance on Submission of Reports by Reporting Institutions

5.3 Risk Assessments

The country has undertaken several risk assessments. These risk assessments inform the understanding of ML/TF risk in the country. They also help reporting institutions in conducting their entity risk assessment and the application of risk-based approach. These include:

- Update on the National Risk Assessment of Money Laundering Report, 2023
- National Terrorism Financing Risk Assessment Report, 2023
- Money Laundering and Terrorism Financing National Risk Assessment Report, 2021
- National Risk Assessment on Money Laundering and Terrorism Financing of Legal Persons and Legal Arrangements, 2023

5.4 Circulars

FRC has issued several Circulars to guide reporting institutions on the implementation of preventative measures. The Circulars constitute several AML/CFT measures including reporting cash transactions, BO requirements, implementation of CFT preventative measures, and risk-based approach to mitigate ML/TF risks posed by different sectors, The Circulars can be found here.

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